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Good morning, Pro Briefers!

In mid-2025, Congress passed the "One Big Beautiful Bill Act" - a massive piece of legislation that changed how corporations think about spending money.

- The bill made the 21% corporate tax rate permanent and brought back 100% bonus depreciation.

Companies can now write off the full cost of some physical assets (factories, equipment, buildings) immediately instead of spreading it out over years.

- Not every asset can be written off - but, many physical assets that would typically fully depreciate in 20 years can be written off under current rules.

It means businesses are being incentivized to spend money on real, tangible things rather than just software licenses or digital services.

The bottom line: Businesses are now shifting their spending - which has led some investors to change where they are investing their money.

That's where we have identified a Government Shift**:**

Capital from investors is flowing from speculative tech stocks into "real economy" companies that build, lend, and insure physical assets - creating opportunities for investors in financials, infrastructure, and insurance.

Let’s break down next why investors may want to pay attention to this shift.

For nearly three years, the S&P 500 Technology sector has been the main focus for many investors.

AI hype, cloud computing, and software companies showed strong growth - and Wall Street got on board.

But something strange started happening in late 2025 and early 2026: *Investors started moving their money.*

Not out of the market entirely, but away from some tech stocks and into:

- Banks.
- Insurance companies.
- Infrastructure builders.

And as more companies increase their spending on physical assets, it creates a bigger opportunity for banks, insurance companies, and infrastructure builders.

All of which investors may be able to profit from, especially as these types of companies have been largely overlooked in recent years.

ANALYST REPORT

Tickers we're tracking:

Banking: JPMorgan (JPM)

Private Credit: KKR & Co. (KKR)

Insurance: Chubb Limited (CB)

THE SHIFT

From Data to Dollars

First, tech stocks have been trading at sky-high valuations for years - many at 30 times their earnings or more.

From 2020 to early-2023, investors didn't care as much about price because many of these stocks were growing so quickly.

Low rates made those investments less risky, because it was cheaper for investors to borrow and spend money.

But rates are higher now, and while Fed interest rates did fall in 2025 and are likely to fall more in the short-term, the chances of them falling back down to zero is slim.

That means rates could stay higher in the long-term.

Suddenly, a bank earning steady profits looks more attractive than a software company promising growth five years from now to some investors.

There's another factor at play too: the yield curve.

The yield curve is the difference between short-term and long-term interest rates.

For years leading up to 2024, this curve has been "inverted" - meaning short-term rates were higher than long-term rates, which is unusual.

But now, the curve is getting steeper - long-term rates are rising faster than short-term rates.

What does this mean? Banks make money by borrowing at short-term rates and lending at long-term rates.

A steeper curve means bigger profits for lenders.

Here’s the opportunity: After years of tech dominance, the market is shifting toward companies that deal in concrete, steel, and dollars - not just lines of code.

Investors may be able to profit from these companies, as many are currently undervalued as Wall Street has had its eyes on tech stocks over the last few years.

And the companies leading this shift aren't obscure startups, either - they're some of the biggest financial institutions in the world.

BANKING

Flight to Safety

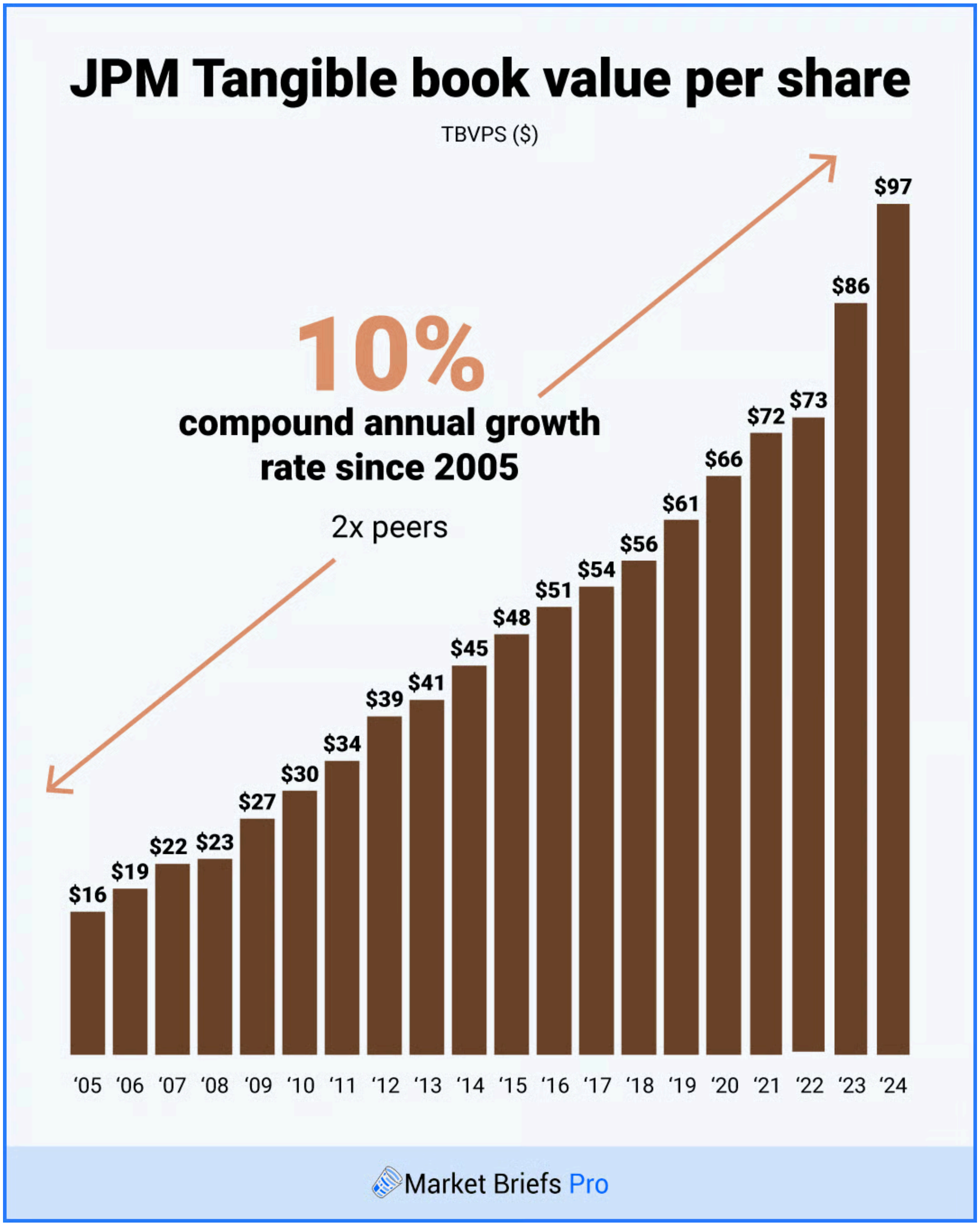
One standout bank could benefit from this shift more than others: **JPMorgan Chase (JPM)**.

- JPM is the largest bank in the United States and has a direct line to both sides of this economic shift.

JPM earns around 51% of its revenue from Net Interest Income - basically, the difference between what it pays depositors and what it charges borrowers.

With the yield curve getting steeper, that margin is expanding, which means more profit on every loan.

But JPM has another advantage: its balance sheet is solid.



Data via JPM's investor presentation

That means JPM can afford to be aggressive.

Tax changes from the One Big Beautiful Bill Act could create a new wave of corporate mergers and acquisitions, which JPM is in a position to finance.

- The new tax incentives are expected to unlock roughly $2 trillion in corporate spending across the U.S.

Plus, as hyperscalers like Meta and Amazon build data centers, or chip giants like Nvidia or TSMC create new facilities, they need cash to do it.

JPM has strong financials and a global presence - making them a potential lender for major companies everywhere, ready to build new physical assets and is ready to provide those loans.

Data via JPM's investor presentation

- JPM helped finance a $38 billion data center deal for Oracle in September of 2025.

For 2026, the company is projecting:

- 20%+ growth in investment banking fees.

- Record net interest income driven by loan growth.

Geopolitics may also benefit JPM this year.

Recent instability in Venezuela has triggered what investors call a "flight to quality" - meaning investors are moving their money to the safest banks they can.

Data via JPM's investor presentation

Some tech companies are choosing JPM, as it's one of the largest and most established banks in the world.

The opportunity: JPM's stock reached a new high in early January 2026, gaining some hotter momentum compared to the Nasdaq 100 (which is mostly tech stocks).

But even with this recent strength, the stock is still trading at a forward price-to-earnings ratio of around 15 - lower than the S&P 500 average of 21.

This implies it could be undervalued, as what investors pay for shares today may be low compared to the company's future earnings.

Higher merger fees and settling yield could create a breakout year for JPM in 2026.

If the "real economy" boom continues, JPM may be one of the biggest winners - and investors will want to keep an eye on it.

Data via Yahoo! Finance

PRIVATE CREDIT

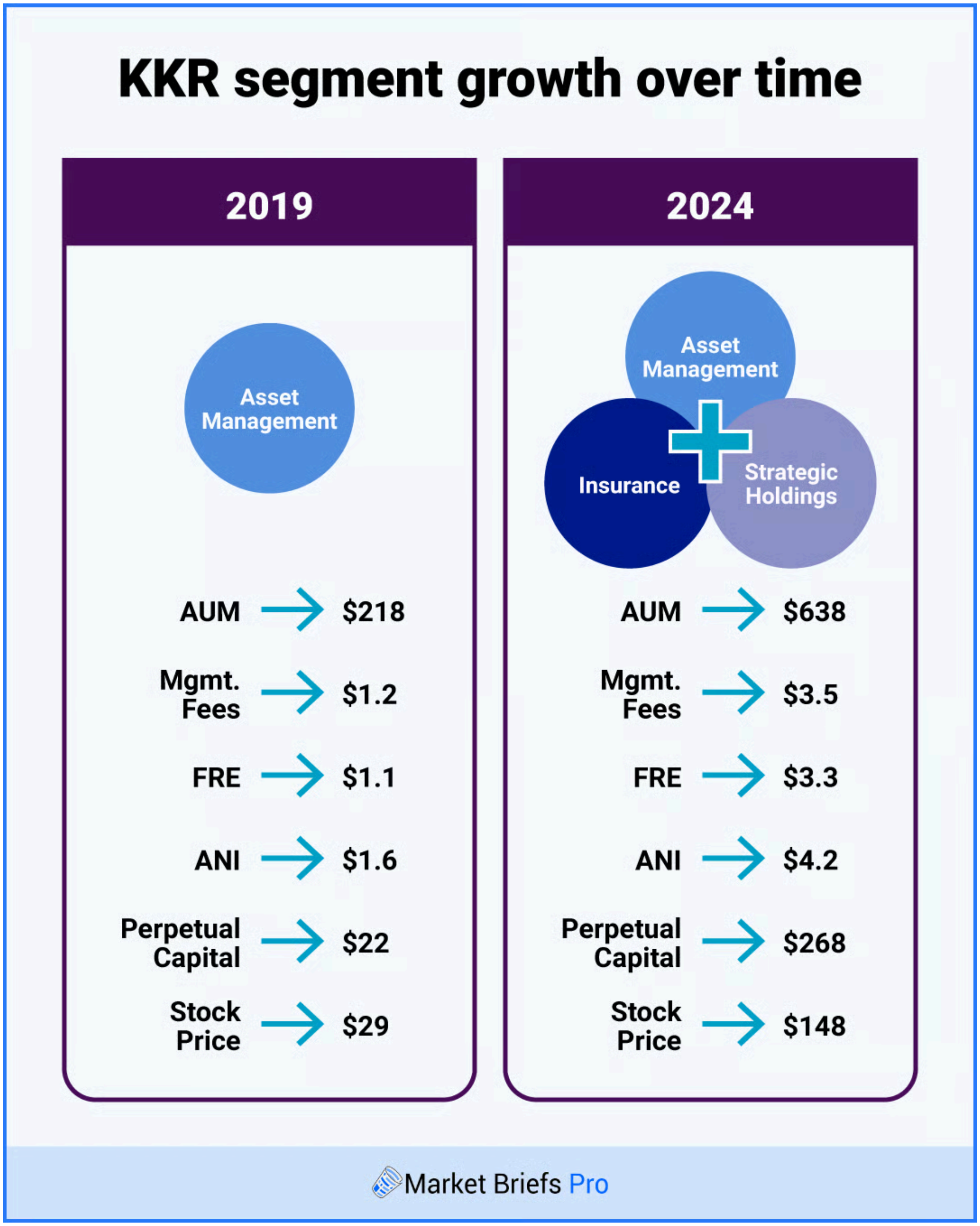
Private Profits

JPMorgan's primary focus is financing public companies - but **KKR & Co. (KKR)** has its sights set on private credit.

What do they do? KKR is an alternative asset manager that specializes in private credit and infrastructure investments.

For years, KKR was known for private equity - buying companies, getting them back on track, and selling them for a profit.

Now, KKR's fastest-growing segment is private credit - making loans to companies that either can't or don't want to borrow from traditional banks.



Data via KKR's investor presentation

Why does this matter? *Banks are heavily regulated.* They have limits on how much they can lend to a single project or borrower.

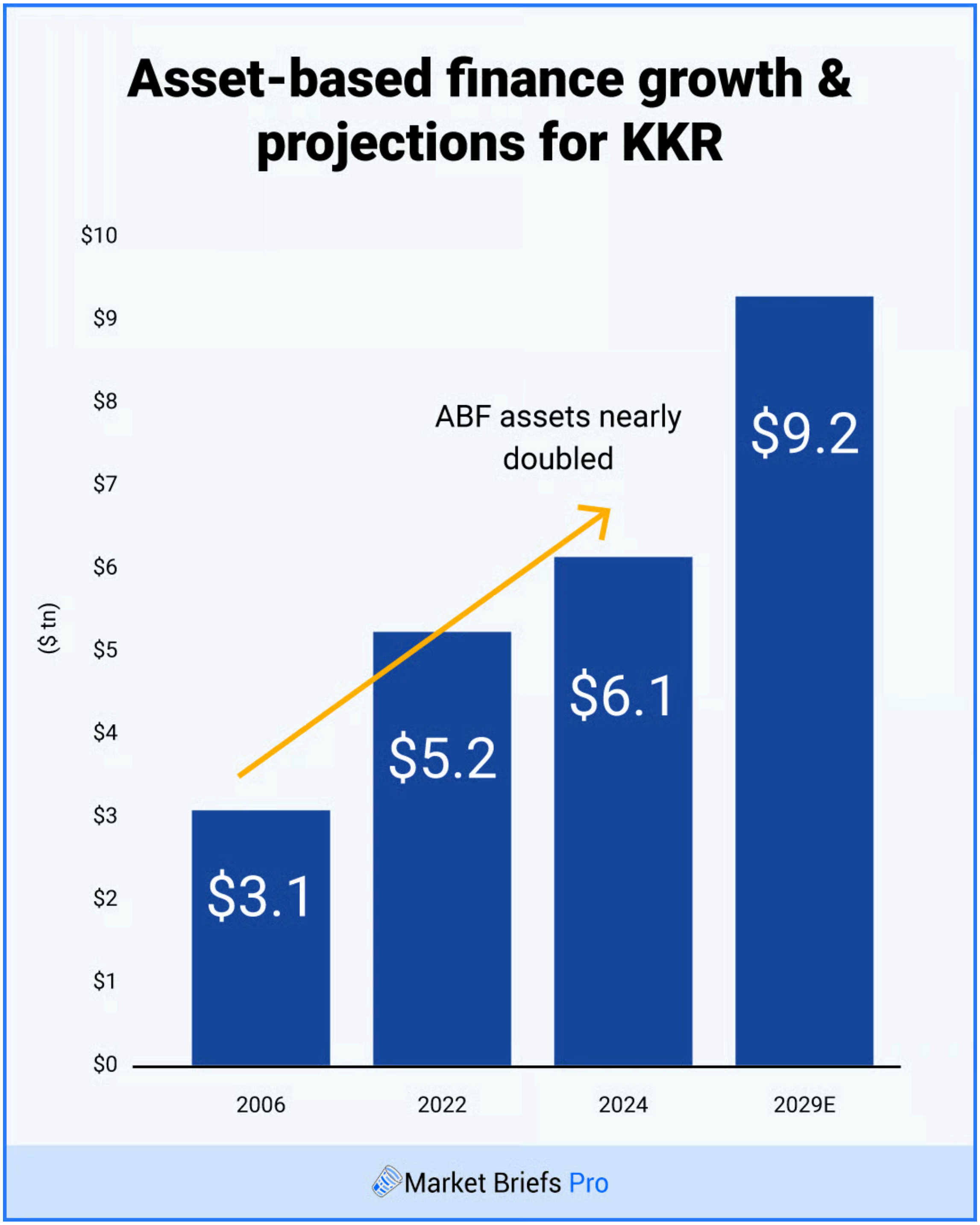
KKR's private credit arm faces almost no such restrictions.

That gives KKR a huge advantage in financing the kinds of massive infrastructure projects that could take off in 2026.

KKR doesn't just provide credit though - it's also taking advantage of AI by investing in vital infrastructure.

Over the last few years, KKR has been buying the physical assets - data centers, pipelines, fiber networks - that provide power to data centers and leasing them back to tech companies.

This strategy generates steady cash flow, which KKR uses to pay dividends and buy back shares.



Data via KKR's investor presentation

In 2026, it has a target to invest $50 billion into U.S. infrastructure.

KKR calls this "Asset-Based Finance" - purchasing vital physical assets and noting that it is the future of its business.

The opportunity: KKR fell 14% in 2025 - but is setting itself up for a big comeback in 2026.

As of January 2026, it’s trading near all-time highs, fueled by the announcement of tax incentives for infrastructure.

The company is effectively replacing regional banks as the primary lender to American industry.

Data via Yahoo! Finance

We feel that it is an undervalued opportunity for investors with plenty of room to grow.

For investors looking to capitalize on the infrastructure and private credit boom, KKR may be a name worth watching in 2026.

INSURANCE

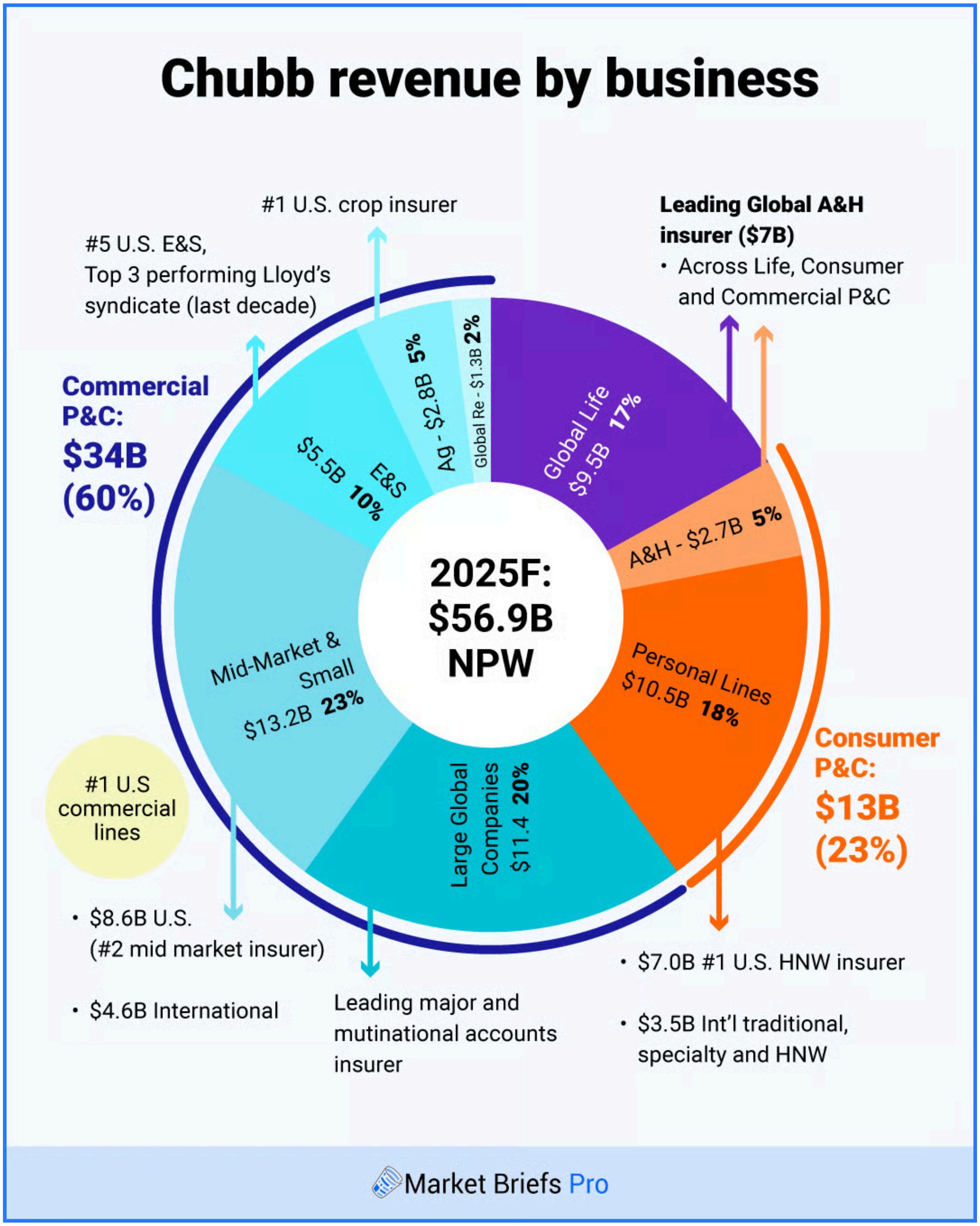
The Price of Risk Management

Physical assets like data centers or other facilities cost billions of dollars - which makes them vital to those businesses.

But if something were to happen, companies need to make sure they’re protected. That’s where insurance comes in.

Chubb Limited (CB) is the world's largest publicly traded property and casualty insurer.

Chubb has been aggressively raising premiums in response to global volatility - from climate-related disasters to geopolitical instability in places like Venezuela.



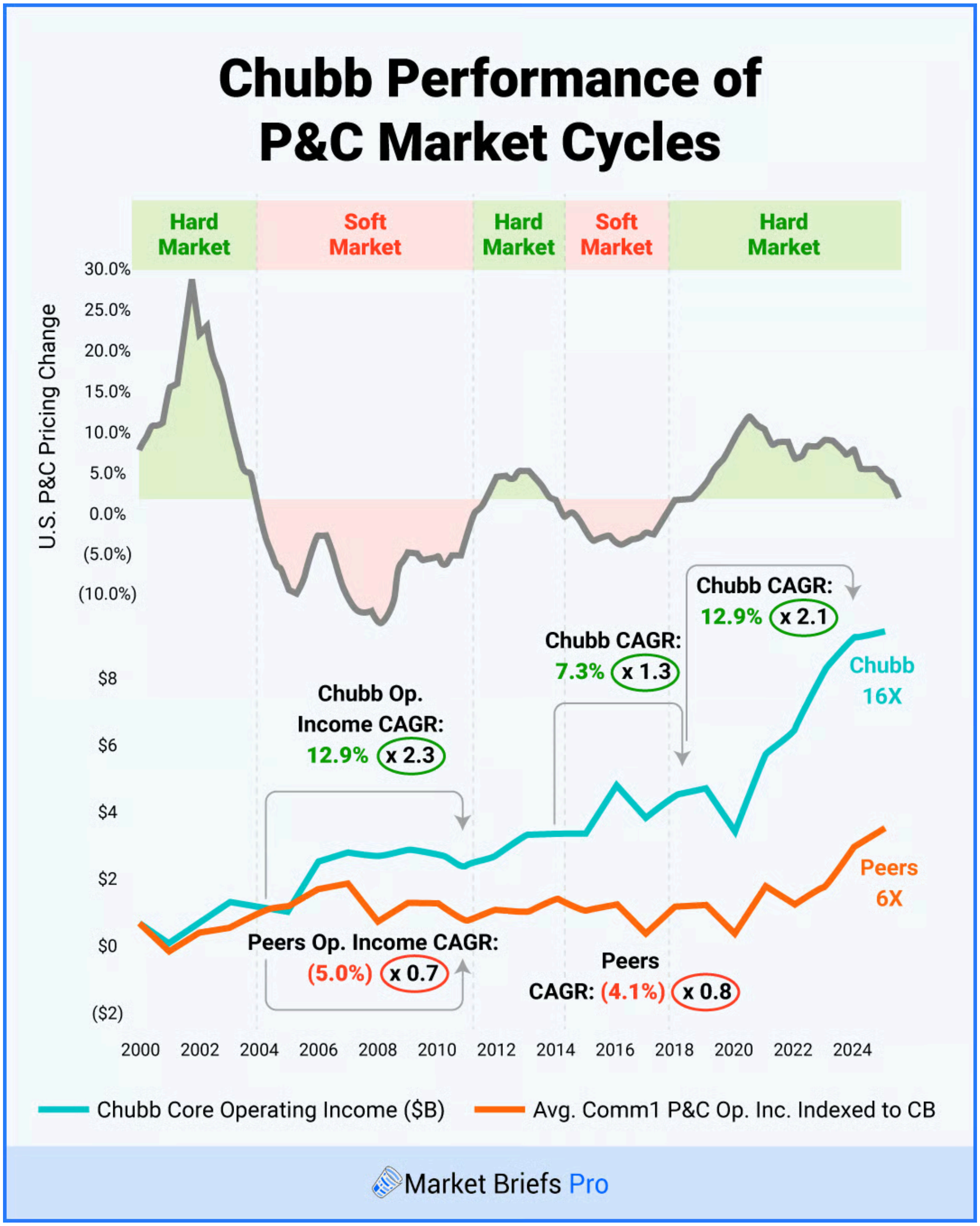
Data via Chubb's investor presentation

That's driving two key financial metrics:

- Massive expansion in "float" - the money Chubb hangs onto before paying claims.
- Record underwriting income - profit from insurance policies themselves.

But here's where it gets interesting: *Chubb isn't just sitting on that float*. It's investing it into Treasuries that now have higher yields.

Why does this matter? For every 100 basis points (1%) that interest rates rise, Chubb's investment income increases by roughly $1.2 billion.



Data via Chubb's investor presentation

Even though rates are falling now, many experts believe they will stay higher for longer, leading to potentially stable revenue for the insurer.

So Chubb wins twice - once from higher premiums, and again from higher yields on its investments.

There's another angle, too. As geopolitical and climate risks rise, corporations are scrambling to insure their supply chains.

Chubb is then able to charge higher premiums because of the dominant market share it has in the industry.

- Some of its policies can also be repriced annually to match inflation.

Its dominant market share and innovative policies allow Chubb to stay ahead of rising costs in a way that many other insurers can't.

Data via Chubb's investor presentation

Lastly, Chubb has raised its dividend every year for the last 30 years, making it a Dividend Aristocrat.

That shows it's willing to prioritize its shareholders, even during recessions, wars, and market crashes.

Speaking of which, Chubb has a long history of share buybacks as well - boosting earnings per share while the stock trades at what management believes is a discount to its intrinsic value.

The opportunity: Chubb offers investors defense, with a potential for steady appreciation.

Data via Yahoo! Finance

As the world gets more unpredictable, demand for insurance only increases - and Chubb is positioned to capture that demand while generating steady returns for shareholders.

For investors looking for a mix of safety and growth in 2026, Chubb may be a potential opportunity.

RISKS

How This Shift Could Change

The biggest risk here? Policy changes.

Investors swapping tech for value adds because of the One Big Beautiful Bill Act rely on it staying in place.

The tax cuts and depreciation rules could change over time, along with policy moves from the Fed.

As a result, this opportunity could lose steam depending on policy moves.

There's also the risk of a credit event in commercial real estate.

While JPMorgan has solid financials, many of its clients do not.

A recession, slowdown, or market crash could impact its customers, making it harder for them to pay their loans.

That would force banks to hoard cash rather than lend it, killing the loan growth that's driving this shift.

Finally, much of this shift relies on current investor sentiment.

New breakthroughs in tech may swing focus back to things like AI, leaving financials, infrastructure, and insurance companies in the dust.

Investors in this shift are effectively betting that tangible assets are finally worth more than digital promises - which could reverse at any moment.

REVIEW

Where Spending Could Be Heading Next

For years, Wall Street has been obsessed with growth - tech stocks have offered that, while other industries quietly prepared for what could be coming next.

But the One Big Beautiful Bill Act is pushing companies to spend money on factories, infrastructure, and physical assets - not just software and cloud services.

That's creating opportunities for the lenders, builders, and insurers that play a key role in the lifecycle of those assets.

This shift isn't guaranteed to last forever, as policy could change, tech could roar back, or a credit crisis could derail the whole story.

But for now, the market is rotating - and the winners are companies that build, lend, and insure the physical world.

For investors willing to look beyond the tech sector, 2026 may offer a rare chance to profit from a structural shift that may be worth paying attention to for years to come.

- Market Briefs Pro Team

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